

Crisis

Game instructions

THE SETUP

- You are in a group of three. One of you is the BUYER and the other two are SELLERS. You keep the same role and the same group for every round.
- Each round the buyer purchases a contract of 100 units and splits it between the two sellers. The units are worth 30 each to the buyer and cost 10 each to make.
- Nothing is hidden. Everyone sees both prices, the split, who fixed a crisis, and every profit — this round and every round before it.

EACH ROUND

- Both SELLERS privately name a price per unit. Neither sees the other's price before naming their own.
- The BUYER sees both prices and splits the 100 units. A seller gets either 0 units or at least 20, and the two amounts must add to 100.
- A crisis happens, or it does not — a 50-50 chance every round. Everyone is told which.
- If a crisis happened, each SELLER decides whether to fix it for their own units. Fixing costs the seller 5 per unit. A seller with 0 units has nothing to decide.
- Profits are worked out and added to the history everyone can see.

THE NUMBERS

Contract size	100 units
Worth to the buyer	30 per unit
Cost to make	10 per unit
Chance of a crisis	50%, drawn fresh every round
Cost of fixing a crisis, to the seller	5 per unit they were allocated
Cost of an unfixed crisis, to the buyer	15 per unit from that seller

PROFITS

A seller earns on the units they were given. The buyer earns on all 100, and pays for any crisis a seller chose not to fix.

Seller	$= (\text{your price} - 10) \times \text{your units}$, minus $5 \times \text{your units}$ if you fixed a crisis
Buyer	$= (30 - \text{price}) \times \text{units}$, added up over both sellers, minus $15 \times \text{units}$ for every seller who left a crisis unfixed

A worked example. A crisis happened; Seller 1 did not fix it, Seller 2 did.

	Seller 1	Seller 2	Buyer
Price named	14	25	—
Units allocated	80	20	100
Fixed the crisis?	No	Yes	—
Profit	320	200	180

Your grade depends on taking part, not on the profits you earn.